

Olevel economics

Division of labour /
Specialization



By:-

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Division of labour and Specialisation

Specialisation can be defined as the process whereby individuals, firms and economies concentrate on producing those products in which they have an advantage. It therefore involves concentrating on a particular task and this should lead to an increase in production as a result of focusing on what is done best.

Division of labour, one example of specialisation is in a firm where there is specialisation by job task. For example, in a car factory, people will specialise in carrying out particular specialised tasks.

Advantages of division of labour

Increase in skill: by concentrating on a particular task, the worker becomes more skilled. This should lead to increased productivity – the worker produces a higher output per period of time.

Disadvantages of division of labour

Dependency: as a result of division of labour, workers become dependent on other workers carrying out their particular tasks and if these other workers are slow or inefficient, it could have a knock-on effect.

Advantages

Saving time: Specialisation in one task avoids the wastage of time involved in moving from one task to other.

Concentration on what a worker does best: division of labour enables workers to concentrate on what they are good at, becoming more skilled and experienced in carrying out that task.

Use of supporting technology: dividing up work into specific task enables workers to benefit from the application of specific technology, such as particular spreadsheets, in specific task-related situations.

Disadvantages

Unemployment: division of labour involves specialising in particular task. If demand for people carry out that task falls, such workers could lose their job and may find it difficult to find another similar job.

Boredom, frustration and alienation: division of labour involves performing the same task day after day and this could lead to monotony and alienation, reducing the level of efficiency and productivity.

Over concentration: division of labour involves concentrating on a particular task and a disadvantage of this is that workers will not be able to develop other skills.

Advantages

Possibility of higher earnings: If division of labour enables workers to become more efficient and more productive, they should be better able to negotiate higher wages and salaries.

Higher profits for the firm: division of labour leads to greater efficiency and higher output, and this should lead to higher profits for the firm.

Growth of economy: the wider economy should benefit from the increased productivity of its resources as a result of division of labour.

Disadvantages

Affected by industrial action elsewhere in a firm: if there is a strike or another form of industrial action elsewhere in a firm, this will affect all workers throughout the firm.

Effect of higher wages for workers: the profits of a firm may not necessarily be higher if the workers are successful in negotiating higher wages arising from the increased output brought about by division of labour.

Marks: 8

Question

Q1 Discuss advantages and disadvantages of division of labour / specialisation? 8

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